

Results of Operations

Key Performance Metrics

Revenues, EBITDA and EBITDA Margin for the Software Solutions and Data and Analytics segments are presented in conformity with ASC Topic 280, *Segment Reporting*. These measures are reported to the chief operating decision maker for purposes of making decisions about allocating resources to the segments and assessing their performance. For these reasons, these measures are excluded from the definition of non-GAAP financial measures under the Securities and Exchange Commission's ("SEC") Regulation G and Item 10(e) of Regulation S-K.

Consolidated Results of Operations

The following tables present certain financial data for the periods indicated (dollars in millions):

	Year ended December 31,		
	2019	2018	2017
Revenues	\$ 1,177.2	\$ 1,114.0	\$ 1,051.6
Expenses:			
Operating expenses	646.0	625.4	569.5
Depreciation and amortization	236.2	217.0	206.5
Transition and integration costs	5.4	6.6	13.1
Total expenses	887.6	849.0	789.1
Operating income	289.6	265.0	262.5
Operating margin	24.6%	23.8%	25.0%
Interest expense, net	(63.5)	(51.7)	(57.5)
Other expense, net	(1.4)	(7.1)	(12.6)
Earnings before income taxes and equity in losses of unconsolidated affiliates	224.7	206.2	192.4
Income tax expense (benefit)	41.9	37.7	(61.8)
Earnings before equity in losses of unconsolidated affiliates	182.8	168.5	254.2
Equity in losses of unconsolidated affiliates, net of tax	(74.0)	—	—
Net earnings	\$ 108.8	\$ 168.5	\$ 254.2
Earnings per share:			
Net earnings per share attributable to Black Knight common shareholders:			
Diluted	\$ 0.73	\$ 1.14	\$ 1.47
Weighted average shares of common stock outstanding:			
Diluted	148.6	148.2	152.4

Year Ended December 31, 2019 Compared to Year Ended December 31, 2018

Segment Financial Results

Revenues

The following table sets forth revenues by segment for the periods presented (in millions):

	Year ended December 31,		Variance	
	2019	2018	\$	%
Software Solutions	\$ 1,012.3	\$ 962.0	\$ 50.3	5%
Data and Analytics	165.4	154.5	10.9	7%
Corporate and Other ⁽¹⁾	(0.5)	(2.5)	2.0	NM
Total	\$ 1,177.2	\$ 1,114.0	\$ 63.2	6%

(1) Revenues for Corporate and Other represent deferred revenue purchase accounting adjustments recorded in accordance with GAAP.